

TME pitch deck

No file-write tools are available in this session, so the deck itself is the deliverable below, with the machine-readable fence at the end for auto-arming.

PITCH — TME — PROPOSED VERDICT

PROPOSED — PENDING ADJUDICATION: No position today. Tencent Music is a confirmed decelerating subscription business trading at roughly fair value ($\sim 6.0\text{--}6.5\times$ enterprise value to earnings with $\sim 30\%$ of the market cap in net cash), not at the distressed price our original brief claimed — reopen only on the price and evidence gates below.

What we believe

Tencent Music's core engine — paid music subscriptions — is slowing down, and the slowdown is worse than the headline numbers show. The company reported membership revenue up 8.1% in the second quarter of 2026, but it closed the Ximalaya (podcast/audiobook) acquisition mid-quarter and blended RMB 407 million of acquired revenue into its lines without saying which line it landed in. Using Ximalaya's own pre-deal Hong Kong prospectus — which shows subscriptions were 51.7% of its revenue — roughly RMB 210 million of that lands in membership, which means underlying membership growth was about **+3.4%** (plausible range +2.6% to +4.3%). The trend is now $17\% \rightarrow 13.2\% \rightarrow 8\% \rightarrow \sim 3.4\%$, falling every quarter with no sign of a floor. The company has also stopped disclosing paying-user counts and per-user revenue, so the one metric that would settle the question is only reported annually.

We also believe the balance sheet is genuinely strong but weaker than our own brief claimed: about **\$4.08 billion of net cash ($\sim 30\%$ of the \$13.7 billion market cap)** after counting all borrowings and notes payable, with the cash held onshore in China and Tencent holding voting control — so minority holders cannot force it out.

What the market believes

The stock is \$8.66, down 67.6% from its 52-week high of \$26.70 and sitting 9.1% above its 52-week low. The market has already repriced this from a growth story to a fading one. At the current price, the business trades at roughly $6.0\text{--}6.5\times$ enterprise value to annualized after-tax profit (about \$1.58 billion a year on the latest quarter). That is a reasonable price for a profitable company whose growth is sliding toward zero — the market is treating it as a fair fade, and after the court's corrections, we agree. The \$400 million buyback (average price paid $\sim \$9.20$, above today's price) signals management sees value, but at $\sim 2.9\%$ of the market cap per year it is support, not a floor.

Why we might have edge

- **The organic-growth split is knowable and we did the work.** The company didn't disclose how much acquired revenue sits in membership; we resolved it from the target's own prospectus. Anyone reading only the press release sees +8.1%; the real number is ~+3.4%. That's a genuine informational step ahead of the headline — it just happens to support *avoiding* the stock, not buying it.
- **We know exactly what would change the picture and when.** The Hong Kong interim report (due by September 30, 2026) must include a business-combination note that can reveal the actual Ximalaya allocation and any purchase-accounting haircut to deferred revenue. If Ximalaya contributed less than RMB 100 million to membership, organic growth was actually $\geq +5.6\%$ and the deceleration story breaks — a specific, dated, checkable trigger.
- **A reusable pattern came out of this:** when a mid-quarter acquisition blends into a growth line whose unit metrics were already withdrawn, the target's own pre-deal filings can pin down the organic number. Both benches endorsed adding this to our detector library.

Why it might be priced in

Because it largely is — that's the court's central ruling. Our original brief argued the market was pricing "terminal decline" at $\sim 5\times$ earnings with 41% of the market cap in net cash. Both of those cushion numbers were wrong: debt was understated (we said $\sim$ RMB 5.8 billion; the actual total including notes payable is RMB 16.5 billion), so net cash is $\sim 30\%$ not 41%, and the multiple is $\sim 6.0\text{--}6.5\times$ not $\sim 5\times$. A 67.6% drawdown on a company whose organic growth just printed $\sim +3.4\%$ and is still falling is not obviously an overreaction; it may simply be accurate. There is no near-term catalyst that forces a repricing in our favor, the adjudicating metric (paying users) only prints annually, and the stock sits in the new-low band where our own doctrine requires review, never a reflex buy.

What we checked ourselves

Both adversarial benches independently pulled the company's own second-quarter press release and Ximalaya's Hong Kong prospectus coverage. Where our own side got things wrong, it's stated here plainly.

Claim	How checked	Found	Confirmed?
" $\sim$ RMB 5.8B total debt → \$5.7B net cash, 41% of market cap" (our original brief)	Fetches TME's own Q2-2026 press release balance sheet, twice independently	Borrowings RMB 13.14B plus notes payable RMB 3.39B = RMB 16.5B ($\sim$ \$2.44B) total debt; net cash $\sim$ \$4.08B $\approx 30\%$ of cap. Our brief understated debt $\sim 2.8\times$; the first (red) bench's correction <i>itself</i> missed the notes-payable line — the second bench caught it	REFUTED

Claim	How checked	Found	Confirmed?
“~5× enterprise value / earnings”	Press release + arithmetic, cross-checked between benches	~6.0–6.5× on corrected figures. Red bench’s own annualization was \$80M low (\$1.50B vs the correct \$1.58B); its debt figure was also low — two errors that partly offset, flagged for the adjudicator	REFUTED as stated
Reported membership growth +8.1% is organic	Ximalaya’s HK prospectus revenue mix (subscriptions 51.7% / ads 23.1% / livestreaming 18.4%)	~RMB 210M of the RMB 407M acquired revenue lands in membership → organic ≈ +3.4% (+2.6–4.3% band). Bull branch (“organic held ~8%”) is dead	CONFIRMED contaminated
Quarter figures: revenue RMB 8.93B +5.8%, membership RMB 4.79B, gross margin 44.2%, \$400M buyback / 43.5M ADS	Independent press-release pulls by both benches	All figures match	CONFIRMED
Buyback supports the price	Press release	\$400M ≈ 2.9% of cap; average price paid ~\$9.20, above today’s \$8.66; cash is onshore RMB; Tencent’s supervoting shares mean minorities can’t compel returns	PLAUSIBLE only
Ximalaya’s underlying trajectory	Annualized the 44-day stub contribution	~RMB 3.4B/year implied vs RMB 6.16B in 2023 — either revenue roughly halved, or a purchase-accounting haircut suppressed recognized subscriptions (which would push organic growth toward the top of the band)	UNRESOLVED
Tape and book state	Evidence pack (broker access was permission-denied this session)	\$8.66, 9.1% off the low, no position, no orders. Red bench misquoted the drawdown sign (+67.6% vs –67.6%); ruled a formatting slip, no finding distorted	CONFIRMED (pack-only)

PROPOSED ENTRY BANDS

The courts ruled **no entry** — these are the **reopen bands**, derived from the benches’ own corrected math (net cash \$4.08B, run-rate profit \$1.58B/yr, ~1.58B ADS-equivalents):

- **Price reopen: below ~\$7.60.** At that price the corrected numbers finally produce the ~5× enterprise-value-to-earnings multiple our original brief wrongly claimed exists at \$8.66. Reopen the case there; it is not an automatic buy.
- **Hard review line: below \$7.94** (the 52-week low). A new low forces a fresh review under our falling-knife rule — review, never reflex-buy.
- **Evidence reopen (either direction), regardless of price:**
 - The Hong Kong interim report (TME trades in Hong Kong as 1698.HK; due by **2026-09-30**) shows Ximalaya contributed < **RMB 100M** to membership → organic growth was ≥ +5.6%, deceleration overstated → re-open bullish.

- The same filing discloses a **large deferred-revenue haircut** from purchase accounting → reported organic slowdown overstated → re-court.
- Restored paying-user / per-user revenue disclosure, or cash returns rising above ~6% of market cap per year → re-court.
- **Exits/trims:** none — no position.
- **Sizing:** 0% today. Any future entry sized fresh at re-court, not pre-committed here.
- **Catalyst dates:** HK interim by **2026-09-30** (statutory deadline, confirmed as a deadline); Q3 results ~**2026-11-11** (estimated from data feeds, **not confirmed** by any company announcement).

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 7.94 (deck-provisional: 52-week-low break - mandatory falling-knife review)
- filing watch: 6-K until 2027-02-10 (deck-provisional: Q3-26 results and HK-interim cross-filings carry the Ximalaya membership allocation, the purchase-acco)
- dated pack TME|2026-09-30: TME: 1698.HK interim report deadline: Ximalaya line allocation + deferred-revenue haircut + debt composition (date confirmed=False)
- dated pack TME|2026-11-11: TME: Q3-2026 results (feed-derived estimate, not company-confirmed) (date confirmed=False)

What remains unverified

- **The Ximalaya-in-membership split is an estimate**, not a disclosure — built from the target's 2021–23 revenue mix. The purchase-accounting question (deferred-revenue haircut) could move organic growth within, or slightly above, the +2.6–4.3% band. Resolves in the HK interim's business-combination note.
- **The composition of the RMB 16.5B debt and any cash-transfer restrictions** — the 20-F borrowings note has not been read; this is owed before any future entry.
- **No audited share-count / stock-compensation series** — the evidence pack's structured-financials block was empty, so per-share dilution math rests on press-release figures only.
- **The Q3 print date (~2026-11-11)** is feed-derived and unconfirmed by the company.
- **Broker tape and account state** were permission-denied this session; price and “no position” are cited to the evidence pack, not verified live — re-verify before any order.
- **Seasonality in the deceleration sequence** was not tested (the standard check couldn't run this session); the 17→13→8→~3.4 sequence is taken as reported.

Primary sources: [TME Q2-2026 results press release](#) · [SEC EDGAR — Tencent Music Entertainment Group, CIK 1744676](#) (6-K filed 2026-08-11, accession 0000950103-26-012141) · [Ximalaya HK](#)

[prospectus revenue mix coverage](#)

```
{"price_gates": [{"level": 7.6, "direction": "below", "basis": "benches'  
corrected math (net cash $4.08B, $1.58B run-rate profit) reaches the  
~5x EV/earnings the original brief wrongly claimed at $8.66 -  
reopen, not auto-buy"}, {"level": 7.94, "direction": "below",  
"basis": "52-week-low break - mandatory falling-knife review"}],  
"event_gates": [{"forms": ["6-K"], "why": "Q3-26 results and HK-  
interim cross-filings carry the Ximalaya membership allocation, the  
purchase-accounting deferred-revenue note, and borrowings  
composition"}], "catalyst_dates": [{"date": "2026-09-30", "what":  
"1698.HK interim report deadline: Ximalaya line allocation +  
deferred-revenue haircut + debt composition", "confirmed": false},  
{"date": "2026-11-11", "what": "Q3-2026 results (feed-derived  
estimate, not company-confirmed)", "confirmed": false}],  
"immediate_entry": null}
```